UNIVERSITY OF ZAMBIA

ECONOMICS DEPARTMENT

ECN 1215 Tutorial Sheet 3 **09th June 2014**

---

1. (a) What is money?

   (b) Discuss the four functions of money in a modern economy.

2. (a) What is a bank?

   (b) Explain the primary functions of a commercial bank?

3. (a) What is money supply?

   (b) Discuss three monetary instruments that the Central Bank employs in controlling the amount of money in the economy (.i.e. expansionary or contractionary money supply).

   (c) List five (5) main functions of the Bank of Zambia.

4. How do commercial banks create money?

5. Discuss the various measures of money.

6. What do you understand by the term money demand? Explain the concept of opportunity cost of money or the cost of holding money. What are the three motives or reasons for holding (demanding) on to money?

7. (a) What is inflation?

   (b) Use a graph to discuss the Demand-pull inflation and cost push inflation. Clearly explain the causes, effects and solutions.

The End
